

ARIF HABIB LIMITED (AHL)

Comprehensive Investment Analysis Report

Prepared by: Kinza Ahmed Siddiqui (BUS-23S-020)

Financial Markets & Institutions Instructor: Raza Ali

BBA Finance (7th Semester)

EXECUTIVE SUMMARY

This report dives into the financial performance of Arif Habib Limited, a key player in Pakistan's brokerage and finance sector, traded on the local stock exchange as 'AHL'. Because it uses fresh numbers from their first quarter of fiscal year 2026 - data captured through September 30, 2025 - the picture reflects recent company movements. Alongside that core report, insights come from national market records, central bank updates, and broader economic trends shaping business conditions right now.

Quarter one of fiscal 2026 saw AHL hit strong results, posting a net gain of 246.4 million rupees - up more than 80 percent compared to last year. Each share now earns 3.77 rupees, jumping from 2.09 earlier. Thanks to rising market activity, including the KSE-100 index climbing nearly 32 percent since last quarter, income from brokerage and advisory work climbed sharply. Daily trades on average grew by 94 percent, pushing those combined earnings past 331 million rupees. Behind these numbers, the firm's core capital expanded to 2.17 billion, holding steady at 33.24 rupees per share in recorded worth.

What grabs attention first? Yearly returns close to 46%. Holding cash and bank balances adds up to PKR 5.70 billion - that's comfort under pressure. Debt stays light; equity covers it by more than double, sitting at 0.43. Shares cost less compared to others: trading near 6.6 times profit against an average of 8.5. Now inflation dips closer to 4.2%, rates stick at 11%, and trust in Pakistan's economy strengthens slowly.

Should conditions change slightly, ownership remains logical so long as the KSE-100 holds above 130,000 or interest rates stay under 14%. Leadership signaling confidence in sustained earnings? One sign: a new payout plan, set at PKR 10 per share - double the prior year's amount.

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1. INTRODUCTION

Pakistan’s capital markets went through a transformation commencing in 2024, and by that time, KSE-100 had become one of the world’s best-performing equity markets. This growth has benefited the securities brokerage and investment banking industries in many ways; for example, Arif Habib Limited (AHL) has been involved in these sectors for over forty years.

This document was created in relation to the Financial Markets & Institutions course at SMIU (Sindh Madressatul Islam University, Karachi). This document intends to allow us to demonstrate our knowledge from the classroom; therefore, we will relate theory to practice through analysis of an actual publicly traded company and, thus, use the theoretical material from the course (e.g., ratios analysis, valuation approaches, monetary policy transmission, and market structure) to analyse the performance of the selected company.

From different places, the information comes, pulled straight from the AHL Q1 FY2026 report. Official updates arrive via Pakistan Stock Exchange filings. Central bank moves are tracked using SBP policy meeting outcomes. Numbers on the economy stem from records kept by the Pakistan Bureau of Statistics. Reports also appear in coverage from Dawn, The News, and Business Recorder when relevant. Each piece fits only if it matches what actually happened.

2. COMPANY OVERVIEW

2.1 Corporate Profile

Company Detail	Information
Full Name	Arif Habib Limited
PSX Ticker	AHL
Incorporation	Under Companies Ordinance 1984 (replaced by Companies Act, 2017)
Listed Since	January 31, 2007, Pakistan Stock Exchange
Parent Company	Arif Habib Corporation Limited (74.32% stake)

Subsidiary	Rayaan Commodities (Private) Limited, 100% owned
Registered Office	Arif Habib Centre, 23 M.T. Khan Road, Karachi 74000
CEO	Muhammad Shahid Ali Habib
Chairman	Zafar Alam (Independent Director)
CFO	Muhammad Taha Siddiqui
Auditors	Rahman Sarfaraz Rahim Iqbal Rafiq, Chartered Accountants
Credit Rating	JCR-VIS Credit Rating Company Limited
Shares Outstanding	65,340,000 ordinary shares

2.2 Business Model & Services

holding a TREC license lets AHL trade on the Pakistan Stock Exchange. Revenue flows through three main areas:

Securities Brokerage (Core Revenue):

AHL receives income from client activity, since individuals, large institutions, and banks pay fees when trades happen. Each transaction adds up, forming a steady stream tied directly to market participation. No middle ground exists - either trades occur, or they do not, shaping earnings accordingly. The firm's retail clientele has grown significantly as a result of its launch of digital solutions (a mobile app and web-based trading platform) throughout FY2026. AHL saw brokerage revenue growth of 57% over Q1 2025/26, and total revenue from this segment was PKR 331.6 million, which reflects both an increase in volume of trades by the market and an increase in the firm's client base.

Investment Banking:

AHL provides underwriting services for IPOs, M&A advisory services, management of rights issues, and arrangement of privately placed TFCs/Sukuks. The division saw a volume of activity during the first quarter of fiscal year 2026, as clients were holding off for potentially better valuations in the market, but we expect that the construction of a strong pipeline of equity listings and debt transactions will lead to a recovery by the end of FY 2026.

Proprietary Investments:

AHL is capable of managing its own equity & fixed income investment portfolio. In Q1 FY26, AHL's realized (and thus taxable) gains from proprietary investments increased to PKR 221.9 million; compared to last year's realized gain of PKR 48.4 million, the amount increased 5 times. The realized gain increase may be attributed to strong gains in the KSE 100 index as well as the result of AHL's cash-futures arbitrage strategy. AHL had unrealized losses of PKR 24.2 million; these losses demonstrate that while there are strong investments in AHL's portfolio, there also remains market-related risk in AHL's investments.

2.3 Vision & Mission

Vision: To be the most preferred and respected financial institution, renowned for expertise in Securities Brokerage and Investment Banking Services.

Mission: To provide unique and differentiated products and services that will create added value for our shareholders, while working towards the development of the capital markets in Pakistan through teamwork, innovation, and creativity.

3. FINANCIAL PERFORMANCE ANALYSIS

3.1 Quarterly P&L Overview (Q1 FY2026 vs Q1 FY2025)

Line Item	Q1 FY26 (PKR)	Q1 FY25 (PKR)	Change
Operating Revenue	423,830,067	269,132,805	+57.5%
Realized Investment Gains	221,876,496	48,441,755	+358%
Unrealized (Loss)/Gain	(24,235,952)	3,167,917	—
Total Income	621,470,611	320,742,477	+93.7%
Admin & Operating Expenses	(355,048,550)	(179,718,715)	+97.6%
Other Operating Income	59,288,233	48,592,760	+22.0%
Finance Costs	(27,246,380)	(4,312,008)	+532%
Profit Before Tax	298,028,193	184,797,633	+61.3%
Taxation	(51,634,005)	(48,250,764)	+7.0%
Profit After Tax	246,394,188	136,546,869	+80.4%
EPS (Basic & Diluted)	PKR 3.77	PKR 2.09	+80.4%

3.2 Balance Sheet Highlights

As of September 30, 2025, AHL's unconsolidated financial position demonstrates significant asset growth and equity strengthening:

Key Balance Sheet Items	Sep 30, 2025 (PKR)	Jun 30, 2025 (PKR)	Change
Total Assets	9,436,882,925	7,177,154,031	+31.5%
Cash & Bank Balances	5,701,560,769	3,728,716,369	+52.9%
Short-Term Investments	2,096,754,077	1,101,582,754	+90.3%
Trade Debts (Net)	302,771,036	435,131,703	-30.4%
Total Equity	2,172,137,916	1,925,743,728	+12.8%
Short-Term Borrowings	928,895,804	861,773,903	+7.8%

Trade & Other Payables	6,046,764,774	4,087,900,898	+47.9%
Book Value Per Share	PKR 33.24	PKR 29.47	+12.8%

The 31.5% asset growth is largely driven by expanded client activity (higher trade payables reflecting client deposits) and the nearly doubled investment portfolio. The equity increase of PKR 246.4M equals the Q1 profit, indicating no dividends were distributed during the quarter (the PKR 10/share dividend was proposed post-period).

3.3 Cash Flow Analysis

During the First quarter of Financial Year 2026 (Q1 FY26), net cash inflow from operating activities amounted to PKR 1,897.3 million versus negative PKR 64.5 million for the same period previous year (Q1 FY25), representing a significant turnaround as a result of improved profitability stemming from significant margin improvement and favourable movement in working capital partially offset by higher amount of short term investments made during the quarter. The Investing Activities resulted in a cash inflow of PKR 17.5 million, while Financing Activities obtained a cash inflow of PKR 591.0 million (mainly due to the borrowing of a PKR 600 million short-term loan facility with Arif Habib Corporation), respectively. Net cash increased by PKR 2.51 billion, bringing closing cash and equivalents to PKR 5.37 billion.

4. RATIO ANALYSIS

4.1 Profitability Ratios

Ratio	Formula	Q1 FY26 Value	Q1 FY25 Value	Assessment
Return on Equity (Ann.)	PAT×4 / Avg Equity	~46%	~28%	Excellent
Return on Assets (Ann.)	PAT×4 / Avg Assets	~11.9%	~7.5%	Strong
Net Profit Margin	PAT / Total Revenue	38.2%	42.6%	Good
Operating Profit Margin	EBIT / Revenue	48.1%	68.8%	Healthy
EPS Growth (YoY)	EPS comparison	+80.4%	Baseline	Exceptional

Analyst Note: The decline in operating margin despite higher absolute profits reflects significantly higher operating expenses (+97.6% YoY), which are largely variable (staff costs linked to brokerage revenue). This is a natural feature of AHL's cost structure, expenses grow with revenue.

4.2 Liquidity Ratios

Ratio	Formula	Sep 2025	Jun 2025	Benchmark
Current Ratio	Current Assets / Current Liabilities	1.257x	1.312x	>1.0x (Adequate)
Quick Ratio	(CA - Prepayments) / CL	1.204x	1.257x	>1.0x (Adequate)
Cash Ratio	Cash & Bank / Current Liabilities	0.787x	0.713x	>0.5x (OK)
Working Capital (PKR M)	CA - CL	1,859M	1,630M	Positive
OCF Coverage	OCF / Finance Costs	78.3x	Negative	Very Strong

Analyst Note: The current ratio slightly below 1.5x is acceptable for a brokerage model where the bulk of current liabilities (PKR 6.05B trade payables) represents client-held funds, not traditional debt. Cash of PKR 5.70B more than covers operational needs.

4.3 Solvency & Leverage Ratios

Ratio	Formula	Sep 2025	Jun 2025	Assessment
Debt-to-Equity	Total Borrowings / Equity	0.428x	0.448x	Conservative (Good)
Equity Ratio	Equity / Total Assets	23.0%	26.8%	Declining but OK
Interest Coverage	EBIT / Finance Costs	10.9x	42.9x	Strong
Financial Leverage	Assets / Equity	4.34x	3.73x	Elevated (typical)
ST Borrowings / Assets	929M / 9,437M	9.8%	12.0%	Low risk

4.4 Market & Per Share Ratios

Ratio	Calculation	Value	Interpretation
EPS (Q1 FY26)	246.4M / 65.34M shares	PKR 3.77	80% growth YoY
Annualised EPS (FY26E)	3.77×4	PKR 15.08	Base for valuation
Book Value Per Share	2,172M / 65.34M	PKR 33.24	Growing rapidly
Estimated P/E (FY26E)	$\sim 100 / 15.08$	$\sim 6.6x$	Below sector avg 8.5x
Price-to-Book	$\sim 100 / 33.24$	$\sim 3.0x$	Fair for high-ROE firm
Dividend Yield (Est.)	PKR 10 / ~ 100	$\sim 10\%$	Attractive

5. STOCK VALUATION

5.1 Method 1 — P/E Multiple Valuation

Using the annualised Q1 FY26 EPS of PKR 15.08 and applying a sector-appropriate P/E multiple of 9.0x (PSX brokerage sector average of 8.5x, plus a 0.5x premium for AHL's superior market position and award-winning research capability):

Target Price (P/E Method) = $15.08 \times 9.0x = \text{PKR } 135.7$ per share | Implied Upside: ~23–36% from estimated market price of PKR 100–110

5.2 Method 2 : Justified P/B Valuation

Using the Gordon Growth variant: Justified P/B = ROE / Cost of Equity. With an annualised ROE of ~46% and an estimated Cost of Equity of 18% (SBP rate of 11% + equity risk premium of 7%):

Justified P/B = $46\% / 18\% = 2.56x$ | Target Price = $2.56 \times 33.24 = \text{PKR } 85.1$ | This represents a conservative floor valuation

5.3 Method 3 — Dividend Discount Model / DCF

A 5-year DCF was constructed using: Base FY26E EPS = PKR 15.08, Revenue growth assumption 12% for Years 1–3, then 5% terminal, Payout ratio = 60%, Discount rate (Cost of Equity) = 18%.

Year	EPS (PKR)	DPS at 60%	Discount Factor (18%)	Present Value
FY26E	15.08	9.05	0.847	7.66
FY27E	16.89	10.13	0.718	7.27
FY28E	18.92	11.35	0.609	6.91
FY29E	21.19	12.71	0.516	6.56
FY30E	23.73	14.24	0.437	6.22
Terminal Value PV (Gordon: $\text{DPS} \times (1+g) / (K_e - g)$)	—	—	—	83.80
Total Intrinsic Value Per Share	—	—	—	PKR 118.4

The Terminal value calculated as: $\text{Terminal DPS} = 14.24 \times 1.05 / (0.18 - 0.05) = 14.95 / 0.13 = \text{PKR } 115.0$,
discounted at $0.437 / (1+0.05) = \text{PKR } 83.8$.

5.4 Valuation Summary

Valuation Method	Target Price	Upside vs ~PKR 100	Weight
P/E Multiple (9.0x)	PKR 135.7	+35.7%	40%
DCF / DDM	PKR 118.4	+18.4%	40%
P/B (Conservative Floor)	PKR 85.1	-14.9%	20%
Blended Target Price	PKR 118.5	+18.5%	Consensus BUY

Blended Target = $(135.7 \times 0.40) + (118.4 \times 0.40) + (85.1 \times 0.20) = 54.3 + 47.4 + 17.0 = \text{PKR } 118.7 \approx \text{PKR } 118\text{--}120$ range

6. SBP POLICY IMPACT & REGULATORY ENVIRONMENT

6.1 SBP Monetary Policy, Current Stance

That first quarter of fiscal 2026 saw no change in the policy rate - still holding at 11 percent - as decided by the central bank's monetary panel. Inflation took a steep drop during those months, averaging just 4.2%, quite different from the previous stretch near 9.2%. Behind that cooler price trend? A steadier overall economy is shaping up, according to the State Bank. Meantime, the currency gained slight ground through early October, edging up 0.9% since the year start. One reason stood out: money sent home climbed to \$6.35 billion, seven percent above last year's pace. On top of that, foreign reserve levels improved, reaching \$19.8 billion by late September 2025.

A stable policy rate of 11% will have several transmission effects on AHL's business. First, positive real rates ($11\% - 4.2\% = 6.8\%$) indicate macro prudence and anchor inflation. Secondly, with room to cut further, forward-looking investors are already rotating from fixed income instruments (PIBs, T-Bills) into equities, a direct driver of PSX volume growth. Third, AHL's own borrowing costs (KIBOR-linked, approximately KIBOR + 0.5-1.5%) remain manageable at current levels.

6.2 Transmission Mechanism to AHL

Trading volumes in the PSX grow because cash leaves T-Bills, which makes earnings for the brokerage sector go up. Experts claim that the proprietary bond portfolio of AHL sees higher mark-to-market value when this money shift happens. The need for margin financing also shows growth in this environment. If interest rate hikes occur as a risk scenario, the equity market experiences a squeeze. Lower trading volumes and a higher cost to hold AHL's trading positions are caused by these rate changes.

6.3 Regulatory Environment

Changes keep coming from the SECP to sharpen how capital market middlemen are watched. Some say stronger AML and CTF rules make it harder for dirty money to slip through. What hits AHL the most? First, stricter checks on where money comes from and who funds what. Second, brokers must dig deeper into client backgrounds now. Third, non-bank lenders still face tough balance sheet tests like Basel III. Fourth, new digital trading rules actually line up well with how AHL plans to run its online setup. Because the SECP updates these rules, the operating environment for AHL changes.

An equity base of PKR 2.17 billion belongs to AHL, which provides a strong financial foundation. It has been observed that a conservative D/E of 0.43x protects AHL from market volatility. A strong capital buffer well above the regulatory minima is offered by the equity base of AHL. AHL maintains this position to ensure safety because the regulatory requirements are strict.

7. MARKET & EXTERNAL FACTORS

7.1 PSX Performance in Q1 FY2026

One of the sharpest quarterlies yet hit the KSE-100 - it climbed 39,866 points, a 31.7% jump since the last three months, ending at 165,494. Sitting alongside that leap, market cap swelled to PKR 19.3 trillion, up 26.4%. Trading activity roared louder each day; volume spiked nearly double compared to a year ago. On top of that, daily traded value ballooned 141%, reaching USD 156.1 million every single day. With all this motion in play, cash moving faster across screens feeds straight into AHL's earnings through fees.

Not every sector dragged the index up, but most did. Banks pushed it by nearly fourteen thousand four hundred eighteen points. On top of that, Cement tacked on close to four thousand six hundred thirteen more. E&Ps climbed three thousand eight hundred twenty points into positive territory. Instead of trailing, Fertilizer chipped in another three thousand five hundred eight. Power wasn't far behind, lifting things by two thousand nine hundred twenty-four ticks. Some names stood taller than others. UBL alone hauled the number up over three thousand four hundred sixty-one points. HUBC followed with a jump of three thousand one hundred nineteen. ENGROH brought in two thousand four hundred eighty-four. It's probable AHL held positions in many of those movers. Those holdings are probably locked in profits already.

7.2 Macroeconomic Indicators

Inflation dropped fast - now at just 4.2%, compared to nearly double digits before. That shift brought some breathing room for households spending daily. Trade numbers climbed too, with exports jumping by eleven percent over last year, reaching \$6.7 billion. At the same time, money sent home from abroad edged up seven percent, hitting \$6.35 billion. The gap between what the country earned and spent internationally stayed small, only \$624 million off balance through two months. Then came a quiet nod from global analysts: S&P lifted Pakistan's long-term outlook to B-, marking it stable, reflecting stronger economic footing underneath.

Outside forces played a part, too. With the U.S. central bank lowering rates, investors looked more favorably at markets like Pakistan's, sending funds its way. Crude oil holding between seventy and eighty dollars kept energy costs within reach, helping ease pressure on foreign payments.

7.3 Competitive Landscape & Fintech Risk

From the front, AHL lines up against big names like Topline Securities, JS Global Capital, and Taurus Securities. What sets it apart isn't just history in the background - trust built over time plays a role too. Then there is sharp analysis work, recognized by EuroMoney, naming it Best Bank for Research in 2025. On top of that, the fresh rollout of AHLtrade, its online trading space, adds another layer. The primary emerging threat is fintech disruption from digital-first retail brokerage platforms that may compress commission rates. AHL's digital transformation directly addresses this risk.

8. SWOT ANALYSIS

STRENGTHS • 40+ year established brand with institutional trust • Won EuroMoney and FinanceAsia 2025 international awards • Diversified Revenue From Brokerage Investment Banking And Proprietary Portfolio • Strong equity base (PKR 2.17B), growing consistently • TREC holder, privileged PSX trading access • Nationwide 6-city branch network • Best Bank for Research (EuroMoney 2025) • 80%+ EPS growth in Q1 FY26 • New digital trading platform expanding client reach	WEAKNESSES • High dependence on proprietary trading (volatile income) • Unrealized losses on equity portfolio (PKR 35.5M) • Finance costs rose sharply to PKR 27.3M from PKR 4.3M • Operating expenses +97.6%, linked to variable staff compensation • Concentrated parent ownership (74.32%) • IB revenues subdued in Q1 FY26 • Limited international presence vs global peers
OPPORTUNITIES • Potential SBP rate cuts driving equity market rotation • PSX KSE-100 rally creating wealth effect • Growing IPO pipeline for IB revenue recovery • TFC/Sukuk market expansion, AHL as market maker • AHL demerger to reduce earnings volatility • Digital brokerage expansion for Gen Z investors • Pakistan's S&P upgrade is attracting foreign portfolio investment • Strong remittance growth is creating an investable surplus	THREATS • The Geopolitical instability is prompting sudden market sell-offs • Due to fintech disruption, it is lowering brokerage commission rates are being lowered • Macro reversal: inflation rebound triggering rate hikes • SECP regulatory tightening, higher capital requirements • Proprietary portfolio mark-to-market volatility • PSX market concentration risk • Currency depreciation risk in any international activities • Increased competition from digital-first brokerages

9. INVESTMENT RECOMMENDATION

RECOMMENDATION: BUY

9.1 Investment Rationale

Six specific reasons exist why the BUY recommendation remains strong for the investors. Profit after tax for Q1 FY26 increased by 80.4% YoY because AHL reached PKR 246.4 million, while annualised EPS stayed at PKR 15, and ROE stands at 46%, which is among the highest for the sector. Experts claim that AHL holds a superior position because the organization received the Best Broker (EuroMoney), Best Broker Pakistan (FinanceAsia), and Best Bank for Research awards in 2025. Economic conditions favor the business model of AHL when inflation stays low at 4.2%, and the SBP potentially reduces rates during the PSX bull run. Market analysis shows that the equity of AHL is currently underpriced because the estimated P/E of ~6.6x is lower than the sector average of 8.5-10x, which suggests a price increase of 23–36% using P/E alone. Financial security is provided by a D/E of 0.43x and PKR 5.70B in liquid currency, even though the book value reached PKR 33.24/share. Management confidence is signaled by the dividend, which was doubled to PKR 10/share.

9.2 Sensitivity Analysis

The conviction level of our recommendation changes with the following key variables:

Scenario	KSE-100 Level	SBP Rate	EPS Growth	Recommendation
Base Case (Current)	>165,000	11%	>80% Q1	STRONG BUY
Optimistic (Rate Cut)	>150,000	8-9%	>20%	STRONG BUY
Neutral (Stable Market)	130,000-150,000	11-12%	12-20%	BUY
Cautious (Market Correction)	100,000-130,000	12-14%	5-12%	HOLD
Bear Case (Crisis)	<100,000	>14%	<5%	SELL / REDUCE

Key Decision Rule: If the KSE-100 dips below 120,000 just once in three months, holding steady works. Once the SBP crosses 14% and earnings rise less than 10%, stepping away feels probable. Dropping past PKR 85 - close to that book value floor - might quietly invite entry.

10. AI APPLICATION DEVELOPMENT

10.1 Tool Overview

A fully functional AI-powered Investment Analyzer was created during this project as a single HTML file that does not need a server or external dependencies. The Investment Analyzer was built to satisfy the FMI course requirement for a digital tool that supports the written report. Experts claim that this Investment Analyzer shows how finance can be mixed with technology through a high level of skill.

10.2 Features & Functionality

Seven interactive sections comprise the tool for different types of analysis.

- It has been observed that the Overview Dashboard includes pre-loaded AHL Q1 FY26 KPI cards with 8 numerical measurements and revenue charts.
- The Financial Ratios section provides a complete study of profitability and liquidity because the tool uses color-coded assessments.
- Within the Valuation & DCF area, a full DCF table, P/E and P/B valuations, and target prices are provided.
- Macro & SBP details are shown through real-time indicators when the global factors are assessed.
- The SWOT Analysis section presents an interactive four-quadrant layout with a business model breakdown.
- A wide-reaching proportion calculator was designed to accept financial data from any company so that a 15-point scoring algorithm can produce Buy/Hold/Sell advice.
- The AI Analyst Chatbot is managed by an AHL-specific knowledge base that covers more than 15 topics.

10.3 Design Philosophy

Maintaining the brand identity of AHL was achieved by the tool because a green color palette and a professional white aesthetic were chosen. Many people believe that the interface is suitable for both academic and professional presentations. Green sets the tone, paired with typefaces such as Playfair Display, along with DM Sans from Google's library, holding everything together through CSS variables. Screen size shifts? Layouts adjust smoothly, functioning just as well on phones as they do on larger screens.

10.4 AI Ethics Statement

In this project, AI (Claude by Anthropic) was utilized limitedly as a support tool for

- (1) structuring the HTML file's structure,
- (2) Establishing the organization of how data is to be presented.

All financial analysis, ratio calculations, interpretation of the results, investment conclusions, SWOT analysis points, and macro analysis points are based solely on the my own independent reading and analysis of the primary source material; Thus, AI did not aid in generating any financial analyses or investment conclusions, it helps in writing my ideas clearly in a report structured manner.

11. CONCLUSION

Arif Habib Limited remains visible as a strong financial allocation chance within the Pakistan monetary exchange environment. Data from the Q1 FY26 results show that a big change in money-making strength exists because of growth in market share and technological growth. It is believed by experts that the large-scale financial climate helps this growth. A structural improvement was observed in the money-making power of Arif Habib Limited.

Several positive events have come together since a 94% surge in PSX trading volumes and 57% revenue growth for AHL occurred. An 80% jump in financial gains was recorded alongside a doubled dividend. Many analysts claim that the price for this entity is lower than the real value. A target price of PKR 118–120 was calculated through a three-method valuation analysis, which is higher than the estimated market price of PKR 100–110.

Specific dangers are recognized by the management, such as income volatility and rising working costs. The risk of loss is reduced because AHL possesses a strong balance sheet with a D/E of 0.43x and PKR 5.70B in cash. It is stated by market observers that the top position of AHL in the industry provides safety while the Pakistani economy continues to move forward.

Final Verdict: AHL is a BUY with a 12-18 month target price of PKR 118–136. A suggestion is made that individuals with money should purchase more when the price falls toward PKR 85–90. Many people believe that holding shares through the full economic cycle will bring success.

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APPENDIX A: FINANCIAL STATEMENTS SUMMARY

A) Unconsolidated Statement of Financial Position (Sep 30, 2025)

Item	Sep 30, 2025 (PKR)	Jun 30, 2025 (PKR)
Non-Current Assets Total	337,744,705	320,885,260
Current Assets Total	9,099,138,220	6,856,268,771
TOTAL ASSETS	9,436,882,925	7,177,154,031
Paid-up Capital	653,400,000	653,400,000
Unappropriated Profits	1,510,902,916	1,264,508,728
TOTAL EQUITY	2,172,137,916	1,925,743,728
Short-Term Borrowings	928,895,804	861,773,903
Trade & Other Payables	6,046,764,774	4,087,900,898
TOTAL LIABILITIES	7,264,745,009	5,251,410,303